

CHAPTER 1

Asset Owners

Chapter Summary

All asset owners—from the very largest sovereign wealth funds (SWFs) to the smallest individual investors—share common issues in investing: meeting their liabilities, deciding where to invest and how much risk to take on, and overseeing the intermediaries managing their portfolios.

1. Timor-Leste

The Democratic Republic of Timor-Leste is a small country of a million people in Southeast Asia.¹ It lies northwest of Australia and occupies the eastern half of Timor Island along with an enclave in the western part of the island. The rest of the island belongs to Indonesia.

In the sixteenth century, the area that is now Timor-Leste was colonized by the Portuguese, who introduced Catholicism, which remains the dominant religion, and coffee, which is the mainstay of Timor-Leste's low-productivity agricultural economy. During World War II, the Australians and Dutch landed in Timor-Leste to fight the Japanese. World War II devastated the country, and recovery under reinstated Portuguese rule was slow.

When Portugal began to withdraw from its overseas colonies, civil war broke out in Timor-Leste. The Revolutionary Front for an Independent East Timor (Fretilin) declared independence in November 1975. Fearful of a Marxist state on its doorstep, and with the support of Western governments amid the Cold War, Indonesia invaded less than a month later, and in July 1976, declared Timor-Leste its twenty-seventh province.

Indonesia's occupation was brutal. An estimated 200,000 Timorese lost their lives to fighting, disease, or famine. In 1996, the Nobel Peace Prize was awarded to two Timorese leaders, Bishop Carlos Filipe Ximenes Belo and José Ramos-Horta, drawing attention to Indonesia's human rights abuses. After Indonesia's

¹ Figures in this section come from the *Economist*, IMF, World Bank, and United Nations.